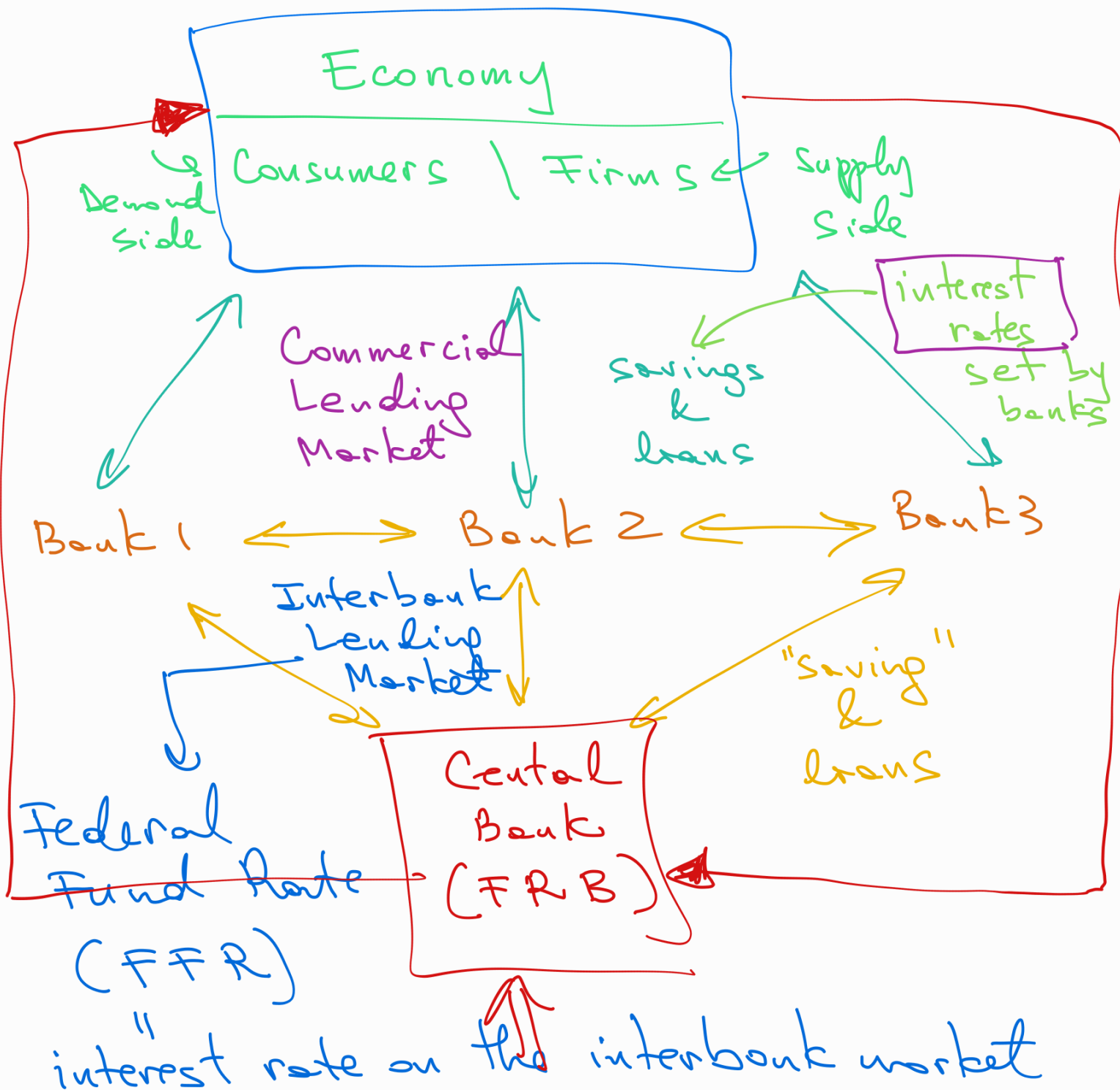


Interest rates



Dual mandate:

- ① Price stability
- ② Full employment

Interest rates & inflation



Banks' savings & loan
interest rates are

called nominal

↑
growth of your
money

We all care about real
interest rate

↑
growth of
goods & services
purchased

Fischer Equation:

$$r_{\text{Real}} \approx r_{\text{Nom}} - i$$

↑
real
rate
↑
nominal
rate
↑
inflation

FED sets its interest rate (FFR) which is a nominal rate using same equation:

$$r_{\text{Nom}} \approx r_{\text{Real}} + \underbrace{E(i)}_{\substack{\text{expected} \\ \text{future} \\ \text{inflation}}}$$

$$r_{\text{IBM}} = \frac{\overset{P_T}{\downarrow} 198.3 + \overset{d_T}{\underbrace{+1.66 + 1.67 + 1.67}} - \overset{P_0}{\downarrow} 186.2}{186.2}$$